

ORDER INTAKE VALUE & SSP ALLOCATION

Policy & Control Standard

POLICY ID	POL-ORD-002	VERSION	2.0
STATUS	ACTIVE / IN FORCE	EFFECTIVE	June 2025
CONTROL ID	CTRL-REV-015	PROCESS AREA	Order-to-Cash (O2C)
OWNER	Group Finance – Revenue Assurance	CHANGE BASIS	Q1 2025 internal audit recommendations

ACTIVE / IN FORCE

Current controlled version. Use this version for current audit planning and control testing.

1. Purpose

This policy defines the methodology used to measure the value of Order Intake for multi-element arrangements. This version supersedes v1.0 and introduces a weighted allocation methodology following Q1 2025 internal audit recommendations.

2. Scope

Applies to all multi-element customer arrangements combining:

- Hardware/Software (HW/SW) deliverables, AND
- Services deliverables

3. Definitions

Standalone Selling Price (SSP): The price at which the Company would sell a deliverable separately under similar circumstances.

Weighted Factor: An adjustment factor applied per deliverable category to reflect margin and risk differences, determined annually by the Pricing Committee.

4. Roles and Responsibilities

Role	Responsibility
Deal Desk	Prepares Relative SSP allocation calculations
Regional Finance Head	Reviews allocations exceeding threshold (elevated from Finance Manager)
Pricing Committee	Determines annual Weighted Factors

5. SSP Allocation Methodology

5.1 Calculation Basis

Allocation is performed using the Relative SSP method, under which a Weighted Factor is applied per deliverable category. This replaces the unweighted Standalone List Price method used in v1.0.

5.2 Weighted Factor Determination

The Weighted Factor is determined annually by the Pricing Committee based on:

- Historical margin performance by deliverable category
- Delivery risk profile
- Market comparables

5.3 Allocation Formula

Step 1 — Relative SSP: $\text{Relative SSP} = \text{SSP} \times \text{Weighted Factor}$

Step 2 — SSP Allocation: $\text{SSP Allocation} = (\text{Relative SSP} \div \text{Total Relative SSP}) \times \text{Total Contract Value}$

Step 3 — Variance Check: $\text{SSP \% from Contract Value} = (\text{SSP Allocation} - \text{Proportional Contract Value}) \div \text{Proportional Contract Value} \times 100$

6. Sample Allocation Illustration

Deliverable	Contract Value	SSP	Weighted Factor	Relative SSP	SSP Allocation	SSP % from Contract
HW/SW	30	30	75.0%	23.25	-6.75	-22.5%
Services	1	10	25.0%	7.75	6.75	675.0%
Total	31	40	100.0%	31.00		

Note: Figures are illustrative and demonstrate the mechanics of Weighted Factor application; actual Weighted Factors are published annually by the Pricing Committee.

7. Approval Requirements

Allocations resulting in variance greater than 10% from Relative SSP require Regional Finance Head sign-off prior to booking.

CONTROL ENHANCEMENT

Threshold reduced from 20% to 10%; approval authority elevated from Finance Manager to Regional Finance Head.

8. Related Policies

- POL-ORD-001: Order Intake Recognition & Measurement Policy
- POL-ORD-003: Order Intake Approval & Backlog Management Policy

9. Revision History

Version	Date	Summary of Change
1.0	Mar 2023	Initial policy issuance
2.0	Jun 2025	Relative SSP method with Weighted Factor; reduced approval variance threshold to 10%

CONTROLLED DOCUMENT

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